

	<i>COMPANY A (20% EARNINGS GROWTH)</i>	<i>COMPANY B (10% EARNINGS GROWTH)</i>
BASE YEAR	\$1.00 A SHARE	\$1.00 A SHARE
Year 1	\$1.20	\$1.10
Year 2	\$1.44	\$1.21
Year 3	\$1.73	\$1.33
Year 4	\$2.07	\$1.46
Year 5	\$2.49	\$1.61
Year 7	\$3.58	\$1.95
Year 10	\$6.19	\$2.59

At the beginning of our exercise, Company A is selling for \$20 a share (20 times earnings of \$1), and by the end it sells for \$123.80 (20 times earnings of \$6.19). Company B starts out selling for \$10 a share (10 times earnings of \$1) and ends up selling for \$26 (10 times earnings of \$2.60).

Even if the p/e ratio of Company A is reduced from 20 to 15 because investors don't believe it can keep up its fast growth, the stock would still be selling for \$92.85 at the end of the exercise. Either way, you'd rather own Company A than Company B.

If we had given Company A a 25 percent growth rate, tenth-year earnings would have been \$9.31 per share: even with a conservative 15 p/e that's a stock price of \$139. (Note that I didn't work out the earnings for a 30 percent growth rate or higher. That level of growth is very difficult to sustain for three years, much less ten.)

This in a nutshell is the key to the bigbaggers, and why stocks of 20-percent growers produce huge gains in the market, especially over a number of years. It's no accident that the Wal-Marts and The Limiteds can go up so much in a decade. It's all based on the arithmetic of compounded earnings.

THE BOTTOM LINE

Everywhere you turn these days you hear some reference to the "bottom line." "What's the bottom line?" is a common refrain in sports, business deals, and even courtship. So what is the real bottom line? It's the final number at the end of an income statement: profit after taxes.